Internal audit report – purchase-to-pay cycle 2025

1. Executive summary

This report presents the results of the internal audit of the purchase-to-pay cycle of Azur Marine Services S.A.M. for the financial year 2025, carried out in November 2025 by Riviera Internal Audit Services at the request of the Board.

The audit identified 7 findings: 1 rated high, 4 medium and 2 low. Management has accepted all recommendations. The overall rating of the cycle is "needs improvement".

2. Scope and approach

Scope: purchase orders, receipt of goods and services, supplier invoices, supplier master data and payments, for the office and the three managed vessels.

Approach: walkthroughs with the Operations Manager, Accounts Payable and the Finance Director; tests on a sample of 40 invoices, 6 changes of bank details, 25 payments and the supplier master file at 31/10/2025.

3. Summary of findings

Ref.	Finding	Rating	Status	Due
F1	Bank detail changes accepted on e-mail only	High	31/01/2026	Finance Director
F2	Emergency purchases not regularised	Medium	31/01/2026	Operations Mana…
F3	POs approved above delegated limits	Medium	31/12/2026	Finance Director
F4	Duplicate invoices	Medium	31/03/2026	Chief Accountant
F5	Supplier statement reconciliations	Low	31/03/2026	Chief Accountant
F6	Cut-off documentation	Low	31/03/2026	Chief Accountant
F7	Payment fraud awareness	Medium	31/12/2026	Finance Director

4. F1 – Bank detail changes accepted on e-mail only (High)

Observation. In 2 of the 6 changes of supplier bank details tested, the change was entered on the basis of an e-mail without any call-back. In one case the request came from an address that differed from the supplier's usual domain.

Recommendation. Introduce a mandatory call-back by a person other than the requester; document it in the master file.

Management response. Agreed. Policy PRC-FIN-04 will be updated in January 2026 (section 6 and annex E). Owner: Finance Director. Due: 31/01/2026.

4. F2 – Emergency purchases not regularised (Medium)

Observation. 4 emergency repairs authorised verbally on board in 2025 were never covered by a purchase order; 3 had no service report.

Recommendation. Regularisation PO within 2 working days and a signed service report before payment.

Management response. Agreed; emergency purchase form created (annex F). Owner: Operations Manager. Due: 31/01/2026.

4. F3 – POs approved above delegated limits (Medium)

Observation. 2 purchase orders above EUR 20,000 were approved by the Finance Director alone.

Recommendation. Block approvals above limits in the purchasing tool; report exceptions quarterly to the Board.

Management response. Agreed; quarterly reporting from Q1 2026, tool blocking planned for Q4 2026. Owner: Finance Director. Due: 31/12/2026.

4. F4 – Duplicate invoices (Medium)

Observation. 1 invoice booked twice in 2025 after a supplier reminder (EUR 1,940.00); detected at the year-end supplier reconciliation.

Recommendation. Search for duplicates on supplier and invoice number before booking.

Management response. Agreed; duplicate check added to the monthly close. Owner: Chief Accountant. Due: 31/03/2026.

4. F5 – Supplier statement reconciliations (Low)

Observation. Supplier statements were reconciled only at year end.

Recommendation. Reconcile key supplier statements monthly.

Management response. Agreed for Mediterra, Oceanic Safety and Côte d'Azur Ship Chandlers. Owner: Chief Accountant. Due: 31/03/2026.

4. F6 – Cut-off documentation (Low)

Observation. The accrual schedule did not reference the delivery evidence.

Recommendation. Attach delivery note or service report to each accrual.

Management response. Agreed. Owner: Chief Accountant. Due: 31/03/2026.

4. F7 – Payment fraud awareness (Medium)

Observation. Finance staff had not received specific training on payment fraud.

Recommendation. Annual training for finance staff.

Management response. Agreed; training scheduled. Owner: Finance Director. Due: 31/12/2026.

5. Rating scale

Rating	Meaning
High	Control weakness exposing the company to a significant loss or fraud; action within 3 months
Medium	Weakness that should be corrected within 12 months
Low	Improvement opportunity

6. Follow-up

Riviera Internal Audit Services will review the implementation of the open actions in November 2026 and report to the Board.

Annex 1 – Invoices tested

Ref.	Supplier	Date	Amount EUR	Result
S01	Northstar Yacht Services	21/08/2025	6,078.00	OK
S02	Northstar Yacht Services	12/07/2025	19,068.00	OK
S03	Harbor Parts	13/07/2025	3,601.00	OK
S04	Mediterra Marine Supplies	25/04/2025	12,705.00	OK
S05	Côte d'Azur Ship Chandlers	02/10/2025	1,313.00	OK
S06	Northstar Yacht Services	03/04/2025	25,620.00	No PO
S07	Harbor Parts	23/04/2025	21,328.00	OK
S08	Sud Marine Électricité	12/09/2025	1,403.00	OK
S09	Liguria Marine Electronics	18/04/2025	7,221.00	OK
S10	Côte d'Azur Ship Chandlers	20/01/2025	4,203.00	OK
S11	Le Marché du Port	18/06/2025	3,237.00	OK
S12	Liguria Marine Electronics	25/05/2025	14,909.00	OK
S13	EcoMarine Waste Services	06/06/2025	17,681.00	No service report
S14	Oceanic Safety Europe	26/08/2025	13,478.00	No PO
S15	CrewLink Maritime	25/10/2025	14,542.00	OK
S16	Monaco Rigging & Sails	01/06/2025	20,442.00	No service report
S17	EcoMarine Waste Services	12/04/2025	18,224.00	OK
S18	Northstar Yacht Services	10/03/2025	9,573.00	No service report
S19	Provence Hydraulique	12/02/2025	18,676.00	OK
S20	Marina Fuel Services	27/05/2025	18,279.00	OK
S21	SeaGlass Coatings	21/03/2025	411.00	No service report
S22	Provence Hydraulique	18/10/2025	18,065.00	No service report
S23	Northstar Yacht Services	05/09/2025	12,972.00	No service report
S24	EcoMarine Waste Services	17/04/2025	10,458.00	OK
S25	Liguria Marine Electronics	17/10/2025	13,761.00	OK
S26	Monaco Rigging & Sails	07/04/2025	7,109.00	OK
S27	Harbor Parts	21/08/2025	19,169.00	OK
S28	Le Marché du Port	09/09/2025	772.00	OK
S29	Côte d'Azur Ship Chandlers	14/04/2025	5,062.00	No service report
S30	Marina Fuel Services	08/06/2025	8,898.00	OK
S31	Monaco Rigging & Sails	24/06/2025	24,693.00	OK
S32	Provence Hydraulique	13/04/2025	20,219.00	OK
S33	Le Marché du Port	26/03/2025	2,939.00	OK
S34	Kairos IT Services	05/04/2025	22,308.00	No PO
S35	Sud Marine Électricité	26/10/2025	18,659.00	OK
S36	Harbor Parts	25/06/2025	24,188.00	OK
S37	CrewLink Maritime	12/06/2025	17,356.00	No PO
S38	Oceanic Safety Europe	09/02/2025	5,293.00	OK
S39	SeaGlass Coatings	15/10/2025	14,387.00	No PO
S40	Liguria Marine Electronics	14/06/2025	11,246.00	No service report

Annex 2 – Payments tested

Ref.	Supplier	Date	Amount EUR	Bank details
P01	Côte d'Azur Ship Chandlers	25/04/2025	20,135.00	IBAN on file
P02	SeaGlass Coatings	28/02/2025	11,349.00	IBAN on file
P03	CrewLink Maritime	05/08/2025	21,746.00	IBAN on file
P04	CrewLink Maritime	17/02/2025	3,734.00	IBAN on file
P05	SeaGlass Coatings	12/10/2025	2,365.00	IBAN on file
P06	Kairos IT Services	19/02/2025	22,904.00	IBAN changed (F1)
P07	Liguria Marine Electronics	11/05/2025	7,788.00	IBAN on file
P08	Liguria Marine Electronics	09/04/2025	21,364.00	IBAN on file
P09	Monaco Rigging & Sails	13/09/2025	19,558.00	IBAN on file
P10	CrewLink Maritime	25/05/2025	18,807.00	IBAN on file
P11	Monaco Rigging & Sails	11/04/2025	9,473.00	IBAN on file
P12	Monaco Rigging & Sails	21/01/2025	12,116.00	IBAN on file
P13	Le Marché du Port	18/10/2025	15,669.00	IBAN on file
P14	Marina Fuel Services	23/02/2025	21,986.00	IBAN on file
P15	Sud Marine Électricité	12/07/2025	2,004.00	IBAN on file
P16	Kairos IT Services	28/05/2025	3,292.00	IBAN on file
P17	Kairos IT Services	17/07/2025	16,508.00	IBAN on file
P18	Provence Hydraulique	03/05/2025	4,147.00	IBAN on file
P19	CrewLink Maritime	12/09/2025	1,300.00	IBAN on file
P20	Northstar Yacht Services	23/08/2025	10,469.00	IBAN on file
P21	Provence Hydraulique	09/05/2025	4,485.00	IBAN on file
P22	Mediterra Marine Supplies	24/10/2025	25,104.00	IBAN on file
P23	SeaGlass Coatings	21/05/2025	1,895.00	IBAN on file
P24	Monaco Rigging & Sails	01/05/2025	10,339.00	IBAN on file
P25	Mediterra Marine Supplies	06/06/2025	18,305.00	IBAN on file

Annex 3 – Persons met

Name	Function	Date
Philippe Andrieu	Chief Executive Officer	03/11/2025
Claire Martin	Finance Director	03/11/2025
Thomas Rinaldi	Operations Manager	04/11/2025
Inès Morel	Chief Accountant	05/11/2025
Sofia Bianchi	Accounts Payable Accountant	05/11/2025
Capt. James Whitfield	Master, M/Y Aurelia	06/11/2025